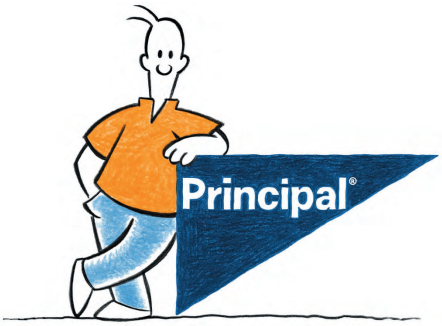
Understanding Retirement Plan Fees



Retirement plan fees and expenses

Your employer's retirement plan is a great way to save for retirement. The retirement plan offers valuable tax advantages, as well as access to a wide selection of investment options.

To cover the costs of operating the retirement plan and its investment options, your employer's retirement plan service provider charges certain fees.

You may want to understand the fees associated with your employer's retirement plan — and how they can impact retirement savings.

What retirement plan fees pay for

There are three categories of expenses associated with retirement plans: investment expenses, plan administrative expenses and participant transaction fees.

- **Investment expenses** cover the costs of offering and managing investment options.
- **Plan administrative expenses** are charged for the day-to-day administrative services and recordkeeping of the retirement plan not already covered by the investment expense.
- **Participant transaction fees** are charged for individual transactions or services.

How retirement plan fees are collected

One of the most challenging concepts when it comes to retirement plan fees is understanding how the fees are collected. The following examples are included to help you better understand the methods used to collect these fees.

Investment expenses

Most investment options in the retirement plan charge an investment expense. The investment expense for each investment option is expressed as a percent. The investment expense is subtracted from the investment option's overall return.

The investment expense may also be used to pay for some, or all, of the plan's administrative expenses.

Here's an example. Let's say you have $1,000 invested in an investment option. The investment expense ratio of the investment option is 0.5%, and the actual investment performance of the investment option is 5.5%.

Example – Investment Expense

	Percentage Return	Dollar Amount
Initial contribution:		$ 1,000.00
Actual investment performance:	5.5%	$ 55.00
Minus investment expense:	- 0.5%	- $ 5.00
Total amount after investment performance and fees:	**5.0%**	**$1,050.00**

Plan administrative expenses

In addition to investment management, other features of retirement plans also require services on a daily basis. These include services like:

- Setting up and tracking participant retirement accounts in the retirement plan
- Daily updates to retirement account balances
- Printing, mailing and online access to retirement plan statements
- Telephone and online account access

The collection method of these administrative expenses is determined by the plan fiduciary (typically the plan sponsor) and can be collected several ways, including paid from the investment expense, being deducted as a percentage from investment earnings, deducted as a dollar amount from participant accounts, billed directly to the employer or a combination of these options. Let's look at an example of plan administrative service expenses deducted from investment earnings.

Again, we will use the example of $1,000 invested in an investment option. A plan administrative expense of 0.1% is applied.

Example – Percentage of Investment Earnings		
	Percentage Return	Dollar Amount
Initial contribution:		$ 1,000.00
Actual investment performance after investment expense:	5.0%	$ 50.00
Minus plan administrative expense:	- 0.1%	- $ 1.00
Total amount after investment performance and fees:	**4.9%**	**$1,049.00**

If your employer offers matching contributions, consider that match when examining retirement plan fees. Below is an example where an employer matches 4% to the participant's 8% salary contribution and a plan administrative expense of 0.1% is applied.

Example – Employer Matching Contribution	
Participant initial contribution (8% of salary):	$ 1,000.00
Employer matching contribution (4% of salary):	$ 500.00
Total initial contribution:	**$ 1,500.00**
Actual investment performance after investment expense (5.0%):	$ 75.00
Minus plan administrative expense (0.1%):	- $ 1.50
Total amount after investment performance and fees:	**$ 1,573.50**

In the example above, only $1,000 of the $1,573.50 was contributed by the participant.

Participant transaction fees

Your employer's retirement plan may charge fees for individual transactions. These fees may be deducted directly from the accounts of those who use the service or engage in the transaction.

This piece is not a comprehensive list of retirement plan fees. A retirement plan may charge fees for other types of services, such as plan loan, early withdrawal and redemption fees. Examples provided are hypothetical and for illustrative purposes only and are not indicative of the performance of any specific investment. The investment return and principal value of an investment will vary. Past performance is no guarantee of future results. Investments are subject to market risk and fluctuate in value.

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